Leave Policy

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Owner	Head of Human Resources, NovaTech Solutions Pvt. Ltd.
Applicability	All employees on the payroll of NovaTech Solutions Pvt. Ltd. at Bengaluru, Pune, Hyderabad and Gurugram offices
HR Contact	hr-helpdesk@novatech.example, ext. 4000

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1. Purpose and Scope [ALL EMPLOYEES]

1.1 Purpose

This policy explains the types of leave available at NovaTech Solutions Pvt. Ltd. ("NovaTech", "the Company"), how leave is earned, how it must be applied for, and how unused leave is treated at the end of the year or on separation. The aim is to give employees adequate rest and support during personal events, while keeping business operations running smoothly.

1.2 Applicability

- This policy applies to all permanent employees from L1 to L7+.
- Fixed-term employees are covered on a pro-rata basis for their contract period.
- Interns, trainees on stipend and third-party contractors are **not** covered by this policy. Their leave is governed by their respective agreements.

1.3 Definitions

- **Leave Year:** 1 January to 31 December.
- **Working Day:** Monday to Friday, excluding public holidays. Working hours are 9:30 AM to 6:30 PM.
- **HRMS:** The Company's HR Management System, where all leave is applied for, approved and tracked.
- **Confirmed Employee:** An employee who has completed probation and received a written confirmation letter.
- **Probation:** The first 6 months of service, unless extended under Section 8.1.
- **Basic Salary:** The monthly basic component of the employee's salary as per the offer letter.

2. Leave Framework and Entitlements [ALL EMPLOYEES]

2.1 Annual Entitlement Summary

The table below shows the annual leave entitlement for a full leave year.

Leave Type	Annual Entitlement	Applicable To	Carry-Forward	Encashable
Casual Leave (CL)	8 days	All employees	No (lapses on 31 Dec)	No

Leave Type	Annual Entitlement	Applicable To	Carry-Forward	Encashable
Sick Leave (SL)	8 days	All employees	Yes, up to 8 days (maximum balance 16 days)	No
Earned Leave (EL)	18 to 27 days (grade-wise, see 2.2)	All employees (usable after probation)	Yes, up to 30 days	Yes (see Section 7)
Maternity Leave	26 weeks (first two children)	Eligible female employees	Not applicable	Not applicable
Paternity Leave	10 working days (5 for probationers)	Eligible male employees	No	No
Bereavement Leave	5 working days	All employees	No	No
Marriage Leave	5 working days (once in service)	Confirmed employees	No	No
Compensatory Off	As earned (maximum 5 days at a time)	L1 to L6	No (valid for 60 days)	No

2.2 Earned Leave Accrual by Level

Earned Leave accrues monthly at the rate shown below.

Level	Annual EL	Monthly Accrual
L1 to L2 (Associate)	18 days	1.50 days
L3 to L4 (Senior)	21 days	1.75 days
L5 to L6 (Lead/Manager)	24 days	2.00 days
L7+ (Director/VP)	27 days	2.25 days

2.3 Accrual Rules

1. CL and SL are credited upfront on 1 January each year for employees who joined before that date.

2. EL accrues on the last day of each month, provided the employee was on payroll for the full month.
3. An employee who joins on or before the 15th of a month earns the full month's accrual. An employee who joins after the 15th earns half of the month's accrual.
4. For employees who join during the year, CL and SL are credited pro rata, rounded up to the nearest half day. For example, an employee joining on 1 July receives 4 days CL and 4 days SL.
5. Days spent on Loss of Pay (LOP) exceeding 10 days in a calendar month do not earn EL for that month.
6. Maternity and Paternity Leave periods count as service for accrual purposes.
7. Leave balances are visible in the HRMS and are updated by the 5th of every month.

3. Types of Leave [ALL EMPLOYEES]

3.1 Casual Leave (CL)

- Casual Leave is meant for short, unplanned or personal needs.
- A maximum of 3 consecutive working days of CL may be taken at a time.
- CL cannot be prefixed or suffixed to Earned Leave to create a long absence without manager approval.
- Half-day CL is permitted. A half day means absence from either 9:30 AM to 1:30 PM or 2:30 PM to 6:30 PM.
- Unused CL lapses on 31 December and is not encashable.

3.2 Sick Leave (SL)

- Sick Leave is for the employee's own illness, injury or medical procedure, and for medical appointments.
- SL may also be used to care for an immediate family member (spouse, child or parent) for up to 3 days in a leave year.
- A medical certificate is required as per Section 6.
- SL cannot be used for planned vacations. Misuse of SL is a violation of the Code of Conduct (refer to the Code of Conduct Policy, Section 7).

3.3 Earned Leave (EL) / Privileged Leave

- Earned Leave is meant for planned vacations, extended personal time and long-duration needs.

- EL accrues as per Section 2.2 and can be availed only after confirmation, except as allowed in Section 8.1.
- The minimum EL that can be applied for is half a day.
- A maximum of 15 consecutive working days of EL can be taken with the reporting manager's approval. Anything longer requires approval from the Department Head and HR.
- Weekends and public holidays falling within a continuous EL period are **not** counted as leave.
- Confirmed employees may request an advance of up to 5 days of EL against future accrual. This needs HR approval and is recovered from the Full and Final settlement if the employee leaves before accruing the balance.

3.4 Maternity Leave

Maternity Leave is provided in line with the Maternity Benefit Act, 1961, as amended.

Situation	Leave Duration
First and second child	26 weeks
Third child onwards	12 weeks
Adoption of a child below 3 months	12 weeks from the date the child is handed over
Commissioning mother (surrogacy)	12 weeks from the date the child is handed over
Miscarriage or medical termination of pregnancy	6 weeks from the date of the event, with a medical certificate
Tubectomy operation	2 weeks from the date of the procedure

Conditions:

1. The employee must have worked for at least 80 days in the 12 months before the expected delivery date. Probationers who meet this condition are eligible.
2. Up to 8 weeks of the leave may be taken before the expected delivery date. The remaining weeks are taken after delivery.
3. The employee must give at least 8 weeks' written notice to the manager and HR, with a medical certificate showing the expected delivery date.
4. Maternity Leave is paid at full salary. It is separate from CL, SL and EL, which cannot be deducted for this period.

5. An additional leave of up to 1 month, as medical leave, may be granted on a medical certificate in case of illness arising from pregnancy or delivery. This is charged to SL first, then EL, then LOP.
6. After the leave, employees may request a Work From Home arrangement for up to 12 weeks, subject to the nature of the role and the manager's approval. A crèche facility is available at the Bengaluru office.

3.5 Paternity Leave

- Confirmed male employees are entitled to 10 working days of paid Paternity Leave. Probationers are entitled to 5 working days.
- The leave can be taken in one block or two blocks, and must be availed within 6 months of the child's birth or adoption.
- It is available for a maximum of two children.
- The employee must submit a copy of the birth certificate or hospital discharge summary within 30 days of availing the leave.

3.6 Bereavement Leave

- 5 working days of paid leave are granted on the death of an immediate family member: spouse, child, parent, sibling, or parent-in-law.
- 2 working days are granted on the death of a grandparent, or a sibling-in-law.
- It is available from the date of joining, to both probationers and confirmed employees.
- The leave should be taken within 15 days of the date of death. Where the employee has to travel for the last rites outside the country, HR may approve up to 3 additional days as EL or LOP.
- A death certificate is not required at the time of applying but must be submitted on request.

3.7 Marriage Leave

- Confirmed employees are entitled to 5 working days of paid leave on their own marriage, once during their service with NovaTech.
- The leave must be taken within 30 days before or 60 days after the wedding date.
- The application must be submitted at least 14 days in advance, along with the wedding invitation or a registration document.
- For the wedding of a sibling or child, 1 day may be taken, which will be charged to CL.

3.8 Compensatory Off (Comp-off)

- Comp-off is granted when an employee is asked to work on a weekend or a public holiday.
- It is available only if the work was approved in writing (email or HRMS) by the reporting manager **before** the day of work.
- Credit rules:
  - Minimum 4 hours of work: 0.5 day comp-off.
  - 8 hours or more: 1 day comp-off.
- Comp-off must be availed within 60 days of the day on which it was earned. After that, it lapses and is not encashable.
- A maximum of 5 comp-off days can be held at any time.
- Employees at L7+ are not eligible for Comp-off. On-call and shift-based work is governed by the Attendance and Work Hours Policy, Section 5.

3.9 Loss of Pay (LOP)

- LOP applies when an employee is absent without any leave balance, or without approval, or when leave is not approved by the manager.
- LOP deduction per day is calculated as **Gross Monthly Salary ÷ 30**.
- Sandwiched weekends and holidays are included in LOP when LOP days fall immediately before and after them.
- Absence without information for 3 or more consecutive working days will be treated as unauthorised absence and may lead to disciplinary action. Continued absence for 7 working days may be treated as abandonment of service (refer to the Code of Conduct Policy, Section 9).
- LOP can also be applied for during exceptional personal circumstances, with approval from the Department Head and HR, for a maximum of 30 days in a year.

4. Public Holidays 2026 [ALL EMPLOYEES]

4.1 List of Company Holidays

NovaTech observes 11 company holidays across all four offices in 2026.

#	Holiday	Date	Day
1	Republic Day	26 January 2026	Monday
2	Holi	4 March 2026	Wednesday

#	Holiday	Date	Day
3	Ugadi	19 March 2026	Thursday
4	Good Friday	3 April 2026	Friday
5	May Day	1 May 2026	Friday
6	Bakrid (Eid al-Adha)	27 May 2026	Wednesday
7	Ganesh Chaturthi	14 September 2026	Monday
8	Gandhi Jayanti	2 October 2026	Friday
9	Dussehra	20 October 2026	Tuesday
10	Diwali (Balipratipada)	9 November 2026	Monday
11	Christmas Day	25 December 2026	Friday

Dates of holidays based on the lunar calendar may change by one day. HR will announce any change at least 7 days in advance.

4.2 Floating Holidays

- Every employee can choose **2 floating holidays** in a year from the optional holiday list published on the intranet. The list includes festivals such as Makar Sankranti, Raksha Bandhan, Onam, Eid-e-Milad and Guru Nanak Jayanti.
- Floating holidays must be applied for in the HRMS at least 5 working days in advance.
- Unused floating holidays lapse on 31 December. They are not encashable and cannot be carried forward.
- Probationers may avail floating holidays.

4.3 Holidays Falling on Weekends

Independence Day (15 August 2026) falls on a Saturday in 2026. No substitute holiday is given when a public holiday falls on a Saturday or a Sunday.

5. Application and Approval Process [ALL EMPLOYEES]

5.1 How to Apply

1. Log in to the HRMS and select **Apply Leave**.
2. Select the leave type, dates and the reason. For half-day leave, select the first or second half.

3. Mention the name of the colleague who will cover urgent tasks, where relevant.
4. Submit the request. The reporting manager gets an automatic notification.

5.2 Advance Notice Requirements

Leave Duration / Type	Minimum Advance Notice
CL of 1 to 2 days	1 working day
CL of 3 days	3 working days
EL of up to 5 days	7 calendar days
EL of 6 to 15 days	15 calendar days
EL above 15 days	30 calendar days
Marriage Leave	14 calendar days
Maternity Leave	8 weeks
Sick Leave, Bereavement Leave	Inform the manager by 10:30 AM on the first day of absence

5.3 Approval Timelines

- The reporting manager must approve or reject a leave request within **2 working days** of submission.
- If no action is taken within 3 working days, the request is escalated automatically to the skip-level manager. There is no auto-approval.
- A rejection must always include a written reason in the HRMS.

5.4 Emergencies and Retrospective Applications

- In an emergency, the employee must inform the manager by phone, message or email on the first day of absence.
- The leave application must be submitted in the HRMS within **3 working days** of returning to work.
- Leave applied for after this window is converted to LOP, unless HR approves an exception.

5.5 Cancellation

- Approved leave can be cancelled in the HRMS up to the day before the leave begins. Cancellation of leave that has started requires manager approval.

6. Sick Leave Medical Certificate Rules [ALL EMPLOYEES]

6.1 When a Certificate Is Required

Sick Leave Duration	Document Required
1 to 2 consecutive working days	No certificate required (self-declaration in HRMS)
3 or more consecutive working days	Medical certificate from a registered medical practitioner
More than 7 consecutive working days	Medical certificate and a Fitness Certificate before returning to work
Hospitalisation	Discharge summary and hospital bills
Sick leave before or after a public holiday or weekend	Medical certificate required, even for 1 day

6.2 Submission Rules

1. The certificate must be uploaded in the HRMS within 3 working days of returning to work.
2. It must show the employee's name, the dates of illness or rest advised, the doctor's name and registration number, and the clinic or hospital name.
3. Certificates from Ayurvedic, Homeopathic and Unani practitioners are accepted if the practitioner is registered with the relevant Indian authority.
4. HR may verify any certificate. A forged or false certificate is serious misconduct under the Code of Conduct Policy, Section 7.
5. If the certificate is not submitted in time, the leave is converted to LOP.

6.3 Extended Illness

If an employee needs more than 30 consecutive days of medical leave, the employee may use SL, EL and then LOP in that order. HR will meet the employee to discuss support options and the Group Medical Insurance benefits.

7. Carry-Forward, Encashment and Year-End Lapse [ALL EMPLOYEES]

7.1 Carry-Forward Rules

Leave Type	Treatment on 31 December
CL	Lapses completely
SL	Up to 8 days are carried forward. Maximum SL balance at any time is 16 days. Excess lapses.
EL	Up to 30 days are carried forward. Excess lapses.
Comp-off	Valid for 60 days from the date of credit. Lapses after that.
Floating Holiday	Lapses completely

Carried-forward balances are credited in the HRMS by 10 January.

7.2 Encashment of Earned Leave During Employment

- Confirmed employees may encash up to **10 days of EL** in a leave year.
- The employee must retain at least 15 days of EL balance after encashment.
- The request must be made in the HRMS between 1 November and 20 November. Payment is made with the December salary.
- Encashment amount = **(Basic Salary ÷ 30) × number of days encashed**. It is taxable as per the Income Tax Act.

7.3 Encashment on Separation

- On resignation, retirement or termination other than for misconduct, the unused EL balance (maximum 30 days) is paid in the Full and Final settlement, at the same rate as in 7.2.
- Employees who are terminated for misconduct are not eligible for encashment.
- SL, CL and Comp-off are never encashed.
- If an employee has taken more leave than the accrued balance, the excess is recovered from the Full and Final settlement. Refer to the Compensation and Payroll Policy, Section 6, for recovery rules.

7.4 Year-End Planning

- HR will send a balance reminder by 15 October to employees whose EL balance is above 30 days.
- Employees are encouraged to use the excess before 31 December. Managers should support reasonable requests to avoid loss of leave.
- Leave applied for in December but approved after 31 December will be debited from the new year's balance.

8. Leave During Probation and Notice Period [ALL EMPLOYEES]

8.1 Probation Rules

1. Probationers receive CL and SL on a pro-rata basis as per Section 2.3.
2. EL accrues during probation but can be used only after confirmation. In a genuine emergency, HR may allow up to 3 days of EL against accrued balance.
3. Marriage Leave and Comp-off for L5 and above are not available during probation. Comp-off for L1 to L4 probationers is allowed.
4. Maternity, Bereavement and Paternity (5 days) Leave are available during probation as described in Section 3.
5. If a probationer takes more than **10 working days** of leave (including LOP) during the 6-month probation, the probation period is extended by the number of days exceeding 10. This does not apply to Maternity Leave and Bereavement Leave.
6. Leave balances remaining at confirmation are carried forward in the same year.

8.2 Notice Period Rules

1. Once an employee has submitted a resignation, Casual Leave cannot be used during the notice period.
2. Sick Leave is permitted with a medical certificate for any duration.
3. EL can be taken during the notice period only with the approval of the reporting manager and HR. Such EL does **not** shorten the notice period. The last working day remains as per the notice.
4. LOP and unauthorised absence during the notice period extend the notice period by the same number of days.
5. Unused EL balance can be encashed at separation as per Section 7.3. For details on notice buy-out and exit formalities, refer to the Separation and Exit Policy, Section 4.
6. An employee cannot start Marriage Leave during the last 30 days of notice period.

9. Special Cases and Exceptions [ALL EMPLOYEES]

9.1 Illness During Earned Leave

If an employee falls sick for 3 or more consecutive days while on EL, the days can be converted to SL on submission of a medical certificate within 3 working days of return. The EL days are credited back.

9.2 Public Holiday During Leave

Public holidays and weekends occurring during a continuous period of EL, Maternity Leave or Paternity Leave are not counted as leave.

9.3 Sandwich Rule

When CL or SL is taken on both the working day before and the working day after a weekend or a public holiday, the weekend or holiday is also counted as leave. This rule does not apply to SL supported by a medical certificate, to EL, or to Bereavement Leave.

9.4 Bereavement During Approved Leave

If a bereavement occurs while the employee is on approved leave, the employee may convert the remaining leave days to Bereavement Leave. The employee must inform the manager and submit the request in the HRMS within 3 working days.

9.5 Inter-Office Transfer

If an employee moves to another NovaTech office during the leave year, leave balances are carried across without change. The holiday calendar of the new location applies from the date of transfer.

9.6 Maternity Leave and Notice Period

An employee on Maternity Leave who resigns will be treated as having resigned from the date of submission of resignation. Maternity benefits already availed are not recovered. Notice period is served on return or bought out as per the Separation and Exit Policy.

9.7 Death of an Employee

If an employee passes away in service, the EL balance (maximum 30 days) is encashed and paid to the nominee, along with other dues.

9.8 Fixed-Term and Part-Year Employees

Employees who leave before the end of the leave year have their entitlement recalculated pro rata to the last working day. Any excess leave taken is recovered in the Full and Final settlement.

10. Manager Guidelines for Approving and Rejecting Leave [MANAGER AND HR ONLY]

10.1 Principles

1. Leave is an entitlement of the employee, not a favour. Managers should aim to approve all reasonable requests.
2. Decisions must be fair, consistent and documented in the HRMS.
3. Managers must not ask employees to cancel approved leave, except in a genuine business emergency (see 10.4).

10.2 When Leave May Be Approved

- The request meets the notice requirements in Section 5.2.
- The employee has sufficient balance of the relevant leave type.
- Work handover and cover arrangements are in place.
- No more than 25% of the team is on planned leave on the same date, unless the Department Head approves.

10.3 When Leave May Be Rejected or Deferred

Leave may be rejected or deferred only for valid business reasons, such as:

- A client go-live, product release or audit within the requested dates.
- More than 25% of the team is already on leave for those dates.
- Insufficient notice for planned EL (not applicable to sickness, bereavement or emergencies).

Managers must not reject Sick Leave, Bereavement Leave, Maternity Leave or Paternity Leave. They also must not reject leave on personal grounds, or because of the employee's performance rating or an ongoing disagreement.

10.4 Recalling an Employee From Leave

A manager can ask an employee to return from EL only with the Department Head's written approval and after informing HR. The Company will reimburse non-refundable travel costs on submission of proof. Unused leave days are credited back, and 1 additional day of comp-off is granted for each day of recall.

10.5 Documentation and Response Time

- Respond to requests within 2 working days as per Section 5.3.
- A written reason is mandatory for every rejection.
- A manager who rejects more than 3 requests from the same employee in a quarter must discuss the matter with the HR Business Partner.

10.6 Monitoring

Managers should review team leave balances every quarter. Employees with an EL balance of more than 25 days should be encouraged to plan leave. Employees who have not taken any leave for 6 months should be asked to take a break, as extended work without leave affects wellbeing.

11. Exception Handling and Escalation Matrix [MANAGER AND HR ONLY]

11.1 Exceptions Approval

No manager can grant an exception on their own authority. All exceptions to this policy must be approved as per the matrix below and recorded in the HRMS.

Situation	First Level	Second Level	Final Approver
Leave rejected by manager, employee disagrees	Skip-level Manager	HR Business Partner	Head of HR
Retrospective leave after the 3-day window	Reporting Manager	HR Business Partner	HR Business Partner
EL advance above 5 days	HR Business Partner	Head of HR	Head of HR
EL above 15 consecutive days	Reporting Manager	Department Head	HR Business Partner

Situation	First Level	Second Level	Final Approver
LOP above 30 days in a year	Department Head	HR Business Partner	Head of HR
Extension of Bereavement Leave beyond 3 additional days	HR Business Partner	Head of HR	Head of HR
Leave cancellation by Company (recall)	Department Head	HR Business Partner	Head of HR
Medical leave beyond 30 days	HR Business Partner	Head of HR	Head of HR

11.2 Escalation Timelines

- Escalated cases must be resolved within 5 working days.
- If the matter is not resolved within this time, HR will inform the Head of HR, who will decide within 3 more working days.

11.3 Records and Audit

- HR will keep all exception approvals for 7 years.
- HR will conduct a leave audit every quarter, covering unapproved leave, misuse of SL, comp-off lapses and encashment accuracy.
- Repeated pattern of sick leave around weekends or holidays (3 or more instances in a quarter) must be reported to the HR Business Partner for review under the Code of Conduct Policy.

12. Frequently Asked Questions [ALL EMPLOYEES]

Q1. I joined on 20 April. How much EL will I earn for April? Since you joined after the 15th, you earn half of the monthly accrual for April. A Level L1 employee would earn 0.75 days.

Q2. Can I use my EL during probation? Not as a rule. EL accrues during probation but is available after confirmation. In a genuine emergency, HR may allow up to 3 days (see Section 8.1).

Q3. Do I need a medical certificate for 2 days of sick leave? No, for 1 to 2 consecutive days a self-declaration in the HRMS is enough. A certificate is, however, required if the sick leave is adjacent to a weekend or public holiday (see Section 6.1).

Q4. How many days of CL can I take together? A maximum of 3 consecutive working days. For longer periods, use EL.

Q5. I have 35 days of EL on 31 December. What happens to the extra 5 days? Only 30 days are carried forward. The 5 excess days lapse. You can avoid this by encashing up to 10 days in November, or by using the leave before year-end (see Sections 7.2 and 7.4).

Q6. Is Maternity Leave available to an employee who is still on probation? Yes, provided the employee has worked at least 80 days in the 12 months before the expected delivery date (see Section 3.4).

Q7. Can I take leave during my notice period? CL is not allowed. SL is allowed with a medical certificate. EL needs approval from your manager and HR, and it does not shorten your notice period (see Section 8.2).

Q8. My comp-off was earned 70 days ago. Can I still use it? No. Comp-off is valid for 60 days from the date of credit and lapses after that. It is not encashable.

Q9. If a public holiday falls on a Saturday, do I get another day off? No. No substitute holiday is given when a holiday falls on a weekend. In 2026, Independence Day (15 August) falls on a Saturday.

Q10. My manager rejected my leave without a reason. What should I do? A rejection must include a written reason in the HRMS. If it does not, or if you disagree with it, write to your skip-level manager or hr-helpdesk@novatech.example (ext. 4000).

13. Related Policies [ALL EMPLOYEES]

- Attendance and Work Hours Policy (NT-HR-POL-002)
- Code of Conduct Policy (NT-HR-POL-003)
- Compensation and Payroll Policy (NT-HR-POL-004)
- Separation and Exit Policy (NT-HR-POL-005)
- Group Medical Insurance Policy (NT-HR-POL-006)

14. Revision History

Version	Date	Description of Change	Author	Approved By
v2025.1	1 January 2025	Previous annual edition	HR Policy Team	Head of HR
v2025.2	1 July 2025	Added Paternity Leave for probationers and Floating Holidays	HR Policy Team	Head of HR

Version	Date	Description of Change	Author	Approved By
v2026.1	1 January 2026	Updated Public Holidays for 2026, EL accrual by level, encashment window, and manager guidelines	HR Policy Team	Head of HR